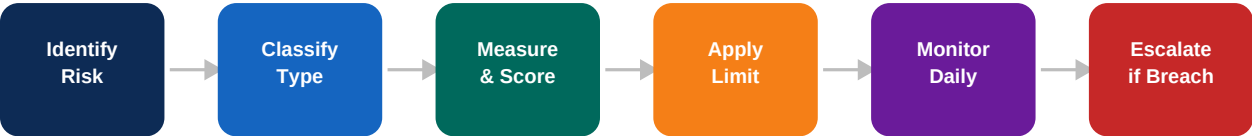


Risk Management & Exposure Policy

Finance Risk & Investment Intelligence System Doc
Ref: FRIIS-DOC-002 | v1.0 | 2025

This policy defines the risk identification, classification, measurement, and escalation framework for all investment portfolios managed under FRIIS. Risk managers must apply these standards consistently and report all breaches within the SLAs defined herein.

Risk Management Process Workflow



1. Market Risk Definitions & Measurement

Market risk arises from movements in prices across equities, interest rates, FX, and commodities. All positions must be assessed against the following risk types and scored accordingly:

Risk Type	Definition	Key Metric	Measurement Method	Score
Equity Risk	Exposure to equity price movements	Beta, Volatility	Historical VaR (95%, 1-day)	0–100
Interest Rate Risk	Sensitivity to rate changes	Duration, DV01	Parallel shift stress +200bps	0–80
FX Risk	Exchange rate exposure on non-local	Net Open Position	VaR + Spot Rate delta	0–70
Commodity Risk	Price fluctuations in raw materials	Commodity VIX	Spot vs 12M forward delta	0–75
Concentration Risk	Over-exposure to single asset or sector	Herfindahl Index	HHI normalised 0–100	0–90
Liquidity Risk	Inability to liquidate without market impact	Bid-ask spread, Volume	Days-to-liquidate metric	0–85

2. Credit Risk Classification & Limits

Credit risk is the probability that a counterparty defaults on financial obligations. All fixed income and derivative positions must be assessed and capped by credit tier:

Tier	Rating Range	Max Single Exposure	Portfolio Cap	Monitoring	Downgrade Action
1 — Inv. Grade	AAA – A-	5% per issuer	Up to 40%	Quarterly	Review if downgraded to BBB
2 — Lower IG	BBB+ – BBB-	4% per issuer	Up to 25%	Monthly	Watchlist; reduce if hits BBB-
3 — Sub-Investment	BB+ – B-	2% per issuer	Max 15%	Monthly	Reduce exposure within 30 days
4 — High Yield	CCC+ – CCC	1% per issuer	Max 5%	Weekly	Flag for escalation immediately
5 — Distressed / NRC	CCC below / Unrated	0.5% per issuer	Max 2%	Daily	Immediate mandatory escalation

3. Liquidity Risk Thresholds

- **Minimum Liquid Buffer:** At least 20% of portfolio value must be in assets liquidatable within 1 business day.
- **Illiquid Asset Cap:** Assets with bid-ask spread >2% or days-to-liquidate >30 are illiquid; capped at 10%.
- **LCR Requirement:** Liquidity Coverage Ratio must remain above 100% at all times; breach triggers immediate notification.
- **Stress Test Frequency:** Monthly liquidity stress tests required for all High and Medium risk portfolios.
- **Redemption Reserves:** Funds expecting quarterly redemptions >5% of NAV must hold equivalent cash reserves.
- **Liquidity Ladder:** Portfolio must maintain tiered liquidity across 1-day, 7-day, 30-day, and 90-day buckets.

4. Risk Exposure Limits by Portfolio Category

Risk Parameter	Low Risk Portfolio	Medium Risk Portfolio	High Risk Portfolio	Escalation Trigger
Market Risk Score (composite)	≤ 35	≤ 55	≤ 75	Score exceeds limit
Max Single Asset Allocation	5%	8%	12%	Breach > 2% above limit
Max Sector Exposure	15%	20%	25%	Breach > 3% above limit
VaR (95%, 1-day)	0.5%	1.0%	2.0%	Exceed limit 2 days in a row
Max Drawdown Limit	4%	8%	15%	Breach at threshold
Credit Risk Score (avg)	≤ 30	≤ 50	≤ 65	Score exceeds limit
FX Exposure (unhedged)	10%	20%	30%	Breach > 5% above limit
Leverage Ratio	0x	0.5x	1.5x	Any leverage in Low Risk

5. Mandatory Stress-Testing Scenarios

Stress tests simulate extreme market conditions to validate portfolio resilience. The following mandatory stress scenarios must be run monthly for portfolios above \$50M NAV:

Scenario	Shock Parameters	Expected Impact	Freq.	Breach Action
GFC 2008 Replay	Equity –40%, Credit +500bps, Rates +100bps	High portfolio loss expected	Monthly	Reduce equity 10%
COVID-19 Shock	Equity –35%, VIX > 80, EM FX –25%	Liquidity crisis risk	Monthly	Emergency rebalance
Rate Shock +200bps	Parallel yield curve shift upwards	Duration losses in bonds	Monthly	Reduce duration
EM Contagion	EM equity –30%, EM FX –20%	EM portfolio losses	Monthly	Reduce EM exposure
Liquidity Crisis	Bid-ask triples, Volume –70%	Forced selling risk	Quarterly	Activate liquidity plan
Geopolitical Shock	Energy +50%, Equity –15%, Gold +25%	Sector rotation needed	As needed	Review energy limits

6. Risk Escalation Matrix

Risk Event	Severity	Immediate Action	Escalate To	SLA
Risk score breach (any tier)	Medium	Log & notify risk manager	Risk Manager	48 hours
escalation_flag = TRUE in DB	High	Halt new investment decisions	Risk Mgr + CRO	24 hours
VaR exceeded 2 consecutive days	High	Reduce position size	Investment Committee	24 hours
Max drawdown limit breached	Critical	Emergency committee convened	CRO + Board	Same day
Credit downgrade below BBB	Medium	Move to watchlist	Portfolio Manager	5 business days
LCR ratio falls below 100%	Critical	Activate liquidity plan	CRO + Compliance	Same day

7. Risk Governance Reporting Cadence

Timely and accurate risk reporting is essential across all levels of the organisation. The following reports and distribution requirements are mandatory:

Report	Frequency	Owner	Recipients	Key Metrics Included
Daily Risk Dashboard	Daily	Risk Manager	PM, CRO	VaR, Drawdown, Risk Score
Portfolio Risk Summary	Weekly	Risk Manager	Investment Committee	All exposure limits vs actuals
Stress Test Results	Monthly	Risk Analyst	CRO, Board Risk Committee	Scenario P&L, tail risk
Counterparty Risk Report	Monthly	Credit Analyst	PM, Risk Manager	Credit tier distribution
Regulatory Capital Report	Quarterly	Finance / Risk	Regulator, Board	RWA, Capital ratios
Annual Risk Policy Review	Annual	CRO	Full Board of Directors	Policy compliance, limit review

■ **Data Security:** All risk reports containing portfolio-level data must be transmitted via encrypted channels. Risk scores and position-level data must not be shared outside the investment team without explicit Compliance Officer approval.

■ Synthetic data for educational use only.